

TEAM CASE – TERRACOG

For each question, take the role of external consultant / advisor to Emma Richardson.

Remember, *Emma Richardson has been tasked with “moving TerraCog toward greater operational alignment and increasing cross-departmental cooperation.”*

DECISION AND ANALYSIS

You / she have heard the debates and issues. The company needs a “go / no-go” decision on Project Aerial, considering price, design, and such. Your choices are the following:

- Go with the existing Aerial unit and get it to the market ASAP. If you choose this option, pick whether to do so at a very competitive price, sacrificing current margins, or to do so at a much higher price than your direct competition, in the hopes of maintaining your margins. Include a definitive price point.
- Send the current Aerial back to Product Development for retooling to lower costs and take a chance on being even later to market (probably 6 months minimum), but possibly with a better unit, and one that may be sold at a price that will allow TerraCog to maintain its margins. Include a definitive price point.
- Scrap the Aerial Project and look for other alternatives for TerraCog to maintain / increase its market position.
- If there is another option not listed here that you perceive and wish to act upon, detail it for me and proceed with the pros and cons of your decision and why you did not choose any of the other options.

NOTES

For the decision you choose, detail the pros and cons of your decision, and why you did not choose the other options.

I realize you have limited information on price, costs, etc, and this is not a product development course. Just use the information you have from the case to justify your argument.

Connect your strategies to stakeholders. Who will be more satisfied and who will be more dissatisfied with your decision and why?